1) Price elasticity will be higher when close substitutes are available.

a. True
b. False

2) Price elasticity will be higher in

a. Short run
b. Medium run
c. Long run
d. Depends on product.

3) Price elasticity of demand depends on

a. The extent to which close substitutes are available.
b. Whether the good is necessity or luxury.
c. Time horizon.
d. All of the above.

4) The example of inelastic demand is

a. Mountain Dew
b. Restaurant meals
c. Medicines
d. Vacation plans

5) Using the midpoint method, calculate the price elasticity of demand for ice cream cones in the market if $P_1 = ₹\ 70$, $Q^d{}_1 = 5000$ and $P_2 = ₹\ 90$, $Q^d{}_2 = 3000$

a. 3
b. 2
c. 1
d. 0.5

6) Consumer's price sensitivity will be extreme, when elasticity is

a. infinity
b. zero
c. 1
d. Less than one

7) If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, the price elasticity of supply is very close to

a. 0.23
b. 0.15
c. 0.29
d. 1.02

8) If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, the price elasticity of demand is very close to

a. 0.23
b. 0.15
c. 0.29
d. 1.02

9) If the quantity of coal supply is measured in pounds instead of kilogram, the demand for coal becomes

a. More elastic
b. Less elastic
c. Depends on quality of wheat
d. Same as before

10) In case of complementary goods, which of the following is generally appropriate?

a. Cross price elasticity of demand < 0
b. Cross price elasticity of demand > 0
c. Cross price elasticity of demand $= 0$
d. Cross price elasticity of demand varies from substitute to substitute